

FREE RESOURCE · AI & FINANCE AUTOMATION

Variance Commentary Prompt Templates

5 ready-to-use AI prompt templates for monthly management reports, board packs, reforecast commentary, and operational reviews. Each includes variables, a sample output, and a prompting tip.

5 Templates

R.C.T.F. Framework

Sample Output Each

Free Download

5 templates

Ready to copy

Sample output each

Tip each

About These Templates

Each template uses the **R.C.T.F. framework** — Role, Context, Task, Format. Replace all text in [SQUARE BRACKETS] with your actual data. Paste your financial data directly — never ask the AI to retrieve data it does not have. All outputs must be verified before use in reports.

Template 1 — Monthly Management Report Variance Commentary

Use for: Monthly finance pack · P&L variance section · CFO and senior leadership

You are an FP&A analyst writing the variance commentary for the [PERIOD] management report. Audience: CFO and senior leadership – financially literate, time-pressured readers.

Data ([CURRENCY], in [UNIT]):
[PASTE YOUR ACTUAL VS BUDGET TABLE HERE]

Instructions:

- Comment only on variances exceeding [THRESHOLD_%] OR [THRESHOLD_AMT], whichever is lower.
- Cover the 3 largest adverse variances and up to 2 favourable variances.
- For each: line item name, amount, direction, and cause if directly inferable from data.
- If cause unclear: write "Cause not specified – requires investigation."
- Format: bullet points. Maximum 40 words per bullet.
- Do not use: "robust", "solid", "challenging", "headwinds". Be specific.
- Do not include an introductory sentence. Start with the first bullet.

PROMPTING TIP

Specifying banned phrases forces precision. Build your own list and add it to every commentary prompt your team uses — it consistently improves output quality across the board.

Template 2 — Departmental Cost Centre Commentary

Use for: Finance business partner review · Budget holder communication (non-finance audience)

You are a finance business partner writing the [PERIOD] variance commentary for the [DEPARTMENT] cost centre. This will be sent to the [BUDGET_HOLDER_TITLE], who does not have a finance background.

Data ([CURRENCY]):

[PASTE COST CENTRE ACTUAL VS BUDGET TABLE]

Instructions:

- Use plain language. Avoid accounting jargon entirely.
- Write 3 bullet points:
 1. Largest adverse variance — what it is, in practical terms, and whether it continues.
 2. Any favourable variance worth noting.
 3. One question the budget holder should be prepared to answer in the finance review.
- Maximum 35 words per bullet. Do not use passive voice.

PROMPTING TIP

The audience specification changes everything. "Non-finance background" shifts the model from accounting language to business language automatically. Always state who will read the output.

Template 3 — Year-to-Date Summary — Board Pack

Use for: Quarterly board pack · YTD financial section · Non-executive directors

You are a CFO writing the year-to-date financial summary for the board pack.

Period: [MONTH] [YEAR] YTD. Audience: board members including non-executive directors.

YTD data ([CURRENCY], in [UNIT]):

[PASTE YTD ACTUAL VS BUDGET VS PRIOR YEAR TABLE]

Write a YTD summary of exactly 120-150 words covering:

1. Revenue: YTD position vs budget and vs prior year — one sentence.
2. Cost: the single largest driver better or worse than budget — one sentence, plain language.
3. Profit/margin: resulting position and full-year budget implication — one sentence.
4. Cash: one sentence on the position relative to expectation.

Rules: Four sentences. No bullet points. No jargon — define EBITDA on first use.

Do not use "on track" or "well-positioned" unless the numbers clearly support the claim.

PROMPTING TIP

Four-sentence structure prevents the rambling commentary that boards typically skim. Specify output structure precisely — "four sentences" is more useful than "concise".

Template 4 — Reforecast vs Original Budget Movement

Use for: Reforecast cycle · Finance Director sign-off · Investor or parent company reporting

You are a Finance Director preparing commentary on the movement from the original budget to the current reforecast for [PERIOD].

Original budget ([CURRENCY], [UNIT]): [KEY P&L LINES]

Current reforecast: [KEY P&L LINES]

Key movements (provided by business): [LIST 3-5 LARGEST CHANGES AND REASONS]

Write 150-180 words covering:

1. Net movement at revenue level – amount and direction.
2. Net movement at profit/EBITDA level – amount and direction.
3. The two primary commercial drivers (use key movements – do not invent reasons).
4. Whether reforecast is improvement or deterioration vs budget, and by how much.
5. One sentence on the key assumption the reforecast rests on.

Do not speculate beyond the key movements provided.

If a movement is unexplained in the data, flag it as unexplained.

PROMPTING TIP

Providing [KEY_MOVEMENTS] as a separate field is the most important structural feature. The model cannot know why the reforecast changed — you must supply the business reasons.

Template 5 — Operational Review Flash Commentary

Use for: Weekly operational review · Leadership meeting · CEO/COO (non-finance audience)

You are a Finance Business Partner preparing commentary for the [DATE] operational review. Direct and brief. Audience: CEO and operations leads – not a finance audience.

[PERIOD_DESCRIPTION] data ([CURRENCY]): [OPERATIONAL DATA]

Prior period comparison: [PRIOR PERIOD DATA]

Known issues or events: [LIST OR WRITE "None provided"]

Write 4 bullet points – no preamble, start immediately with bullet 1:

1. Revenue/volume: actual vs plan and vs prior period, primary driver.
2. Margin or cost: one observation worth flagging.
3. The one operational metric most out of line with expectation.
4. One item requiring a decision from this meeting – or write "No decision required."

Rules: Maximum 20 words per bullet. Numbers only – no vague qualifiers.

PROMPTING TIP

Operational reviews are read in real-time. The 20-word limit forces you to prioritise before prompting. If you cannot state the issue in 20 words, you have not yet decided what the issue is.

About This Resource

These templates were developed by **Mirela Dragulescu**, a finance transformation specialist with 9+ years delivering finance reporting and AI adoption programmes across 10+ European markets. The R.C.T.F. framework applied in each template consistently produces the most reliable results in financial reporting contexts.

MORE VARIANCE COMMENTARY PROMPTS

The **Advanced AI Prompt Library — Finance Edition** (premium, €65) includes 150 tested prompts across 12 use cases, including additional variance commentary, investor narratives, and audit committee summaries. Available in the Resources section on MD Consulting's website.

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